

U.S. SMID-Cap Software

Cybersecurity: Off-cycle readthrough from earnings thus far



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Cybersecurity includes a lot of off-cycle reporting schedules — in advance, this note reflects on insights from those that already reported, including momentum signaled by cloud infrastructure vendors (hyperscalers and adjacent cloud operations software).

Cybersecurity demand is strong due to AI. Our [CIO](#) / [CISO](#) surveys and [webinars](#) show worries about [increased attacks YoY](#), AI enhanced social engineering, and speed of attack on technical flaws (particularly post [Mythos/Glasswing](#)). AI remains in its infancy, so we anticipate risks and strategies to address them will remain dynamic... **but uncertainty may create contract length pressure** — CIO/CISOs aren't certain which are the right vendors, so say they prefer shorter commitments. We can see the impact of this in willingness to explore VC-backed startups for many new AI security topics in our buyer discussions. But as Fortinet's Q2 earnings demonstrated, committed platforms may not see duration problems.

Near term priorities secure AI / protect from AI-enhanced attackers. Protecting from AI-enhance attackers includes stringent AppSec testing and patching cycles, modernizing Operational Tech security (e.g., IoT, network attached equipment), and investment in real-time threat intelligence / response ("ITDR"). Securing operational use of AI (e.g., Agents, User-in-the-loop-AI) includes Identity, data protection / access governance, and communication / email security. **...it also puts some prior priorities on the back burner**, with SIEM, SSE, and Secure Browsers showing poorly in our recent survey. We think this means landing new customers may be hard right now.

Disappointment potential: most cybersecurity can't easily see hockey stick growth, no matter the demand. Even with significant demand tailwinds, many parts of cybersecurity will have a hard time mirroring the rapid growth acceleration of cloud consumption infrastructure. The categories of technology that can really hockey stick are those more closely tied to Product Led Growth ("PLG") customer self-adoption and consumption demand tailwinds. Effectively no enterprise cybersecurity is PLG. Most cybersecurity requires a substantial sales cycle and implementation effort creating a human bottleneck to scaling — it is not just new customers, new product from an existing vendor will likely need real proof-of-concept and bake off and operational effort to scale.

...hockey stick is possible: network and internet security. Firewalls and DDoS could continue to accelerate as demand naturally ramps with scale as data centers require more bandwidth capacity, or new cloud containers / SaaS apps go into production.

We like (upcoming earnings): Palo Alto's potential for network security to hockey stick + strong organic Net New ARR growth (20%+?) driven by Identity and Threat Intelligence. CrowdStrike's ability to maintain ~25% YoY growth with strength in Threat Intelligence, Identity, EDR/AIDR modernization. Okta's new customer demand driven by strong AI recommendation (particularly IAM, CIAM) and narratives [deepening Anthropic partnership](#).

What worries us (upcoming earnings): CrowdStrike's growth likely remains stable (not hockey sticking up) and this could be disappointing (it is actually impressive!). Zscaler will likely continue to struggle adding net new customers thus pressuring growth (but existing customers demand to secure AI should still do well). SentinelOne is unlikely to keeping up with CrowdStrike (or other vendors) improving growth prospects.

BERNSTEIN TICKER TABLE

Ticker	Rating	7 Aug 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
NET (Cloudflare)	M	USD	300.27	164.00	20.3%	USD	0.92	1.32	1.98	324.7	227.5	151.5
CRWD (CrowdStrike)	M	USD	214.42	103.00	79.4%	USD	0.93	1.25	1.66	230.0	172.2	129.0
FTNT (Fortinet)	M	USD	159.64	102.00	89.6%	USD	2.76	3.62	4.11	57.9	44.2	38.9
OKTA (Okta)	O	USD	148.32	141.00	36.1%	USD	3.50	3.91	4.64	42.4	37.9	31.9
PANW (Palo Alto Networks)	O	USD	363.86	253.00	94.1%	USD	3.43	3.63	4.89	106.2	100.2	74.4
S (SentinelOne)	O	USD	21.40	19.00	6.0%	USD	0.20	0.36	0.59	106.7	58.9	36.1
ZS (Zscaler)	O	USD	168.68	224.00	(60.5)%	USD	3.28	4.21	5.42	51.5	40.1	31.1
SPX			7,757.64									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CRWD, OKTA, S base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Cybersecurity is very expensive right now given the tailwinds for the sector seem to be well understood. In fact, as we discussed in our crowding note ([here](#)), pretty much all of our covered companies are crowded (except for companies with messier stories, Zscaler and SentinelOne). As we discussed above, and below, the love may be overdone, if expectations are for hockey stick growth similar to what cloud infrastructure has seen over the last few quarters. We do think network security could benefit from these tailwinds, as its pricing scales with infrastructure demand. But most other cybersecurity is constrained by sales cycles and human effort to implement and maintain, causing acceleration to be more muted.

REPORTING OFF-CYCLE IN THE NEXT FEW WEEKS

Okta (OKTA) - buy it now. We still see headroom to our ongoing call ([here](#)) that they will lap the effects of DOGE (-100bps) in Q3, and they continue to stack derivatives throughout this year from lapping their seat-overselling on 3-year contracts during COVID. We anticipate this mechanical acceleration puts them around 13% growth in FQ4 as we start 2027 (quarter ends Jan'27) on the way to [13-14% in calendar 2027](#) (FY28), up from near 11% this last quarter. The stock has already come off lows from earlier this year, and the narrative seems to “want to believe” that Okta is well positioned to benefit from AI agents. This has been further supported through their recently announced [partnership with Anthropic](#) and longer term [partnership with OpenAI](#). As the company accelerates, we believe it could feed these positive narratives and further re-rate up. We maintain our Outperform rating and \$141 PT.

CrowdStrike (CRWD) and Palo Alto (PANW) valuations are high, but if we HAD to choose one right now, it would be PANW. This is very tough. We like both businesses a lot. They have a clear fit to current market demand driven by cloud modernization and AI, and a lot of headroom in our perspective long term (which is infrequent in cybersecurity). Clearly a lot of investors agree, with both trading at high multiples relative to many other software businesses. It's hard to make an “undervalued” story, as a result. But if we had to choose one, we do like the relative setup of Palo Alto, as we anticipate its growth will continue to step up both organically and in their recent large inorganic integrations. As we discussed above, their Network Security business is one of the few areas that can really see hockey stick type demand as datacenter capacity booms (requiring physical firewalls) and AI Coding Agents enable a boom in cloud containers (needing virtual firewalls). Add to that a change in reporting to segment level for next FY (this is FQ4) that could address investor modeling and transparency concerns, and we think the setup could continue to support the stock. On the other hand we think CrowdStrike is more likely to only have a small remaining YoY growth step up from 24% in FQ1 towards a stable ARR growth just less than 25% ([here](#)) the next few quarters (before slowly decelerating the next few years) — their demand should remain strong, but the operational constraints to scaling commercial capacity that we discuss below likely prevent them from really hockey sticking like low friction consumption infrastructure companies have done. We maintain our Palo Alto Outperform rating and \$253 PT, and our CrowdStrike Market-Perform rating and \$103 PT.

Zscaler (ZS) — Outperform, but what catalyst? We downgraded Zscaler late in 2025 ([here](#)) because we saw increasing competitive challenges from Cloudflare impacting their net new customers and overall TAM. And more recently we have focused on the impact that enterprise browsers have on their existing customer expansion headroom. But even in the face of those we see a durable business, just one that is likely to decelerate faster than we had originally thought — on the back of this we tried

to “catch the falling knife” and upgraded them in Q1 ([here](#)). Clearly a poor choice as they fell even further after that. We continue to emphasize the business isn’t mortally wounded by either of these situations, there are just fewer new customers to win and NRR likely harder to maintain. In the near term the demand environment is tougher for net new customer adoption, AND their own commercial operations doesn’t have the “hunter” sales talent built into the model. It may be another year until the sales capabilities are in place (they don’t want to add another incentive plan mid-year), and at least that long for buyers to broadly not be too distracted by AI and be in a position to start considering purchases of new SSE implementations. The result is we calculate fundamental upside even on a “GAAP FCF” (i.e., FCF - SBC) basis in the ~\$180 price range (vs. currently trading at \$131), and on a growth multiple basis we get an even higher \$224 PT. We are unsure what catalyst will help realize this upside, given the narrative pressures, so while we maintain an Outperform we do have less visibility on the shape / timing of the stock price improvement.

SentinelOne (S) — hope for acquisition? As we’ve discussed before, the company seems to continue to disappoint hopes that it could re-accelerate or show relative outperformance. Our Outperform recommendation is related to their strategic value as an asset we think many companies would want to acquire. We believe a deal would get done at a premium and likely around our \$19 PT.

ALREADY REPORTED

Cloudflare (NET) — expensive, but not sure what drives re-rating down. We continue to really like Cloudflare’s Act I and II businesses. The former we see correlating strongly to overall cloud momentum (seeing the same benefits we discuss for the rest of cloud-linked consumption infrastructure) and the latter with clear traction relative to ZS. But we believe that investors also add value for Act III “Workers” business that we continue to be skeptical will take off disproportionately relative to Act I or II — we particularly worry that the emerging headless infrastructure of many incremental applications built with AI and with AI at their core will move to an alternative delivery architecture that doesn’t advantage proxy networks like Cloudflare operate. Let alone their Act IV where we have little line of sight to monetization. This has made it tough for us to reach the lofty valuations we see Cloudflare trading at, but also hard for us to call when this hope will break and cause the stock to plummet. Thus, we maintain a Market-Perform rating and \$164 PT.

Fortinet (FTNT) — less exposed to long term tailwinds. We think the near term revenue growth setup does look better ([here](#)) than we had anticipated a couple quarters ago, partially driven by pricing for memory cost increases and even more by demand for their offerings (e.g., network segmentation) to address regulatory requirements and increasing risk narratives for Operational Technology (“OT” e.g., IoT, manufacturing, medical devices). The downside is these seem to be temporary tailwinds that may have peaked this quarter, with memory pricing probably going to normalize at some point (at Q2 earnings the company mentioned they’ve stabilized now, but not sure how permanent that is) and OT cyber build out slowing after the issue is addressed. This would result in a cyclical deceleration. More broadly we continue to believe their ability to broaden their software offerings remains constrained relative to Palo Alto (we believe their most closely linked peer from an investor point of view). We maintain our Market-Perform and \$102 PT.

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